MACROECONOMICS

MACRO-43

Time: 5 minutes

Outcome: Find the real interest rate that balances desired saving and investment.

Difficulty: Intermediate

Loanable-Funds Equilibrium

THE CORE IDEA

In the closed-economy loanable-funds model, national saving supplies funds and desired investment demands them. A higher real interest rate encourages saving and makes fewer investment projects profitable, so supply slopes upward and demand downward. Equilibrium occurs where desired saving equals desired investment; the real rate coordinates the two plans.

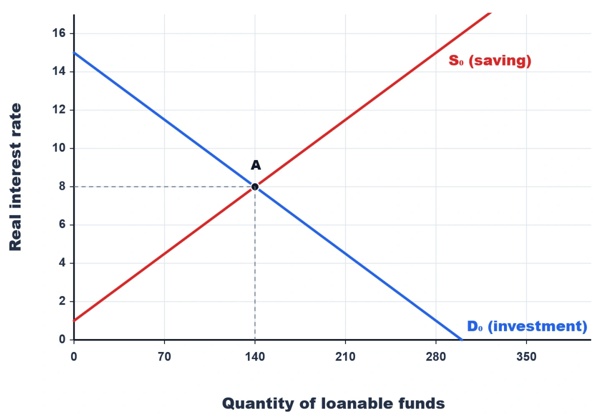
HOW TO RECOGNIZE IT

- Vertical axis: real interest rate; horizontal axis: quantity of loanable funds.
- Saving is the source of supply; investment is an important source of demand.
- Below equilibrium, desired investment exceeds desired saving and the real rate is pushed up.
- Above equilibrium, desired saving exceeds desired investment and the real rate is pushed down.

WATCH OUT

S = I at equilibrium does not mean desired saving equals desired investment at every possible real rate. The real rate adjusts to reconcile the plans.

WORKED EXAMPLE: READING THE MARKET-CLEARING POINT



The upward saving curve S0 and downward investment curve D0 meet at A. The equilibrium quantity is 140 and the real interest rate is 8 percent. A rate below 8 percent would create excess demand for funds; a rate above 8 percent would create excess supply.

CHECK YOURSELF

At a real rate below equilibrium, which planned quantity is larger: saving or investment?

READY? Return to the game and master this concept.